

into an uncertain future prevented him from rushing into buying a house. “Buying a house is a lot of liability because in metro cities, a decent bare minimum house starts from ₹1.5-2 crore. Life is full of uncertainty; there could be health emergencies in the family. With this uncertainty, taking so much burden doesn’t seem logical.”

Data from the BT-PRICE survey shows that only 8% respondents earning more than ₹15 lakh were interested in buying a house, as against 16% of respondents earning between ₹5 lakh and ₹10 lakh.

For Gen Z, renting is more than a stopgap before ownership; it’s a deliberate lifestyle choice, says Chetan Chichra, Partner, Real Estate, Grant Thornton Bharat. “From homes and cars to luxury goods and travel, this generation prioritises access over possession. It’s not that they dismiss the value of assets; they’re simply redefining their timeline. For them, stability doesn’t mean buying early; it means staying adaptable, financially resilient, and aligned with the lifestyle they aspire to build,” says Chichra.

CHANGING DEFINITIONS

According to a 2025 Knight Frank survey, 27% to 30% of Gen Z prefer renting over buying. “However, for the roughly 70% who aspire to homeownership, significant financial barriers remain,” says Shishir Baijal, International Partner, Chairman and Managing Director, Knight Frank India.

This generation views home as less of a status symbol and more of a functional, flexible asset, says Anshuman Magazine, Chairman & CEO - India, South-East Asia, Middle East & Africa, CBRE. Moreover, Gen Z prefers their homes to be in proximity to workplaces, public transport, and other amenities.

Thus echoes the thinking of



“(We are) enhancing digital engagement, offering virtual property tours, flexible financing options and curated homes with wellness-focused amenities”

PRAVEER SHRIVASTAVA

SR. EXECUTIVE VP,
RESIDENTIAL, PRESTIGE
GROUP



“Today, Gen Z is more interested in connected cars, infotainment systems, and tech like ADAS. They are tech-driven”

PARTHO BANERJEE

SENIOR EXECUTIVE
OFFICER, MARKETING &
SALES, MARUTI SUZUKI

Pandita, who values the freedom to move neighbourhoods, or cities, if better amenities or opportunities come along. “At a young age, I don’t want too much liability,” he says.

“I prefer staying on rent because it gives me freedom and choice to move to a different place for better amenities.” He also refers to the lower rental yields, adding that if he were to invest, he would rather buy land in a Tier II or Tier III city than a home in a metro city.

Arora believes that in the suburbs of Delhi, like Noida, one ends up getting a 3-3.5% rental yield. “My money sits better in an index fund, and when that index fund gives me 10-12% yield, I take that yield and put it into rent,” he says.

GOING BIG

Unlike earlier generations, Gen Z is going for premium and spacious homes, says Prashant Thakur, Executive Director & Head - Research & Advisory, ANAROCK Group.

“While those from the lower-income segments are certainly finding housing beyond their reach now, this is not the case with all denizens of this generation. Developers are focusing on those who can buy homes,” says Thakur.

Knight Frank India’s Baijal says since many Gen Z professionals are in the nascent stages of their careers, often without parental financial backing, developers should innovate with ‘co-buying’ or equity-sharing models. “By partnering with lenders, developers can offer ‘step-up’ mortgages, where initial payments are scaled to prevailing earning capacities and increase as the buyer’s income grows over time,” he explains.

This shift, he says, requires a specialised, youth-centric approach like the established senior living sector. Baijal explains that while senior housing focuses on medical care and accessibil-